Economics - K-12 Level Assessment 19 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Suppose that an expansionary fiscal policy leads to a large increase in real output and a small increase in the price level. From this it can be inferred that
   (a) inflation had already impacted the economy before the fiscal stimulus.
   (b) the economy initially had some unemployed resources.
   (c) aggregate supply decreased.
   (d) aggregate demand is steeply sloped.
2. Suppose a nation is experiencing an annual budget surplus and uses some of this surplus to pay down part of the national debt. One potential side effect of this policy would be
   (a) increase interest rates and throw the economy into a recession.
   (b) increase interest rates and depreciate the nation's currency.
   (c) decrease interest rates and risk an inflationary period.
   (d) decrease interest rates and throw the economy into a recession.
3. Consumer surplus is
   (a) the price of a good divided by its marginal utility.
   (b) the marginal utility of the good divided by its price.
   (c) the total utility of the good.
   (d) the difference between the consumer's value and the market price.
4. A bilateral monopoly exists when
   (a) a monopsony buys from a monopoly
   (b) a monopoly sells to two different types of consumers
   (c) a monopoly buys from a monopsony
   (d) a monopolist sells two different types of goods
5. Households demand more money as an asset when
   (a) nominal GDP falls.
   (b) the nominal interest rate falls.
   (c) bond prices fall.
   (d) the supply of money falls.

True / False (10 marks)

Answer True or False

6. True or False: The sales tax paid at the grocery store is an example of a regressive tax, as it takes a larger percentage from low-income earners.
7. True or False: Land refers to all natural resources used in production, including minerals, water, and forests.
8. True or False: Milton Friedman is a prominent Monetarist known for his contributions to economic theory.
9. True or False: The stock market is the main source of the supply of loanable funds in an economy.
10. True or False: When the price of a product decreases and consumers buy more of it instead of a substitute, this is known as the substitution effect.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the effects of contractionary monetary policy on the discount rate, nominal interest rate, and aggregate demand, explaining the relationships and implications of each component.
12. Discuss how substitution effects and income effects contribute to the downward-sloping nature of the demand curve in economics. Provide examples to support your analysis.

End of Paper